

ORACLE EPM

Predictive Cash Forecasting

Investing Cash Flow

Advanced Lab Guide | Product Design + Implementation + Technical Reference

For advanced-stage Oracle EPM, treasury, FP&A and implementation learners

LAB SCOPE

**13-Week Investing Cash Flow Forecast | Capex | Asset Disposals | Strategic Investments |
M&A Payments | Liquidity Controls**

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1. Guide Purpose and Learning Outcomes

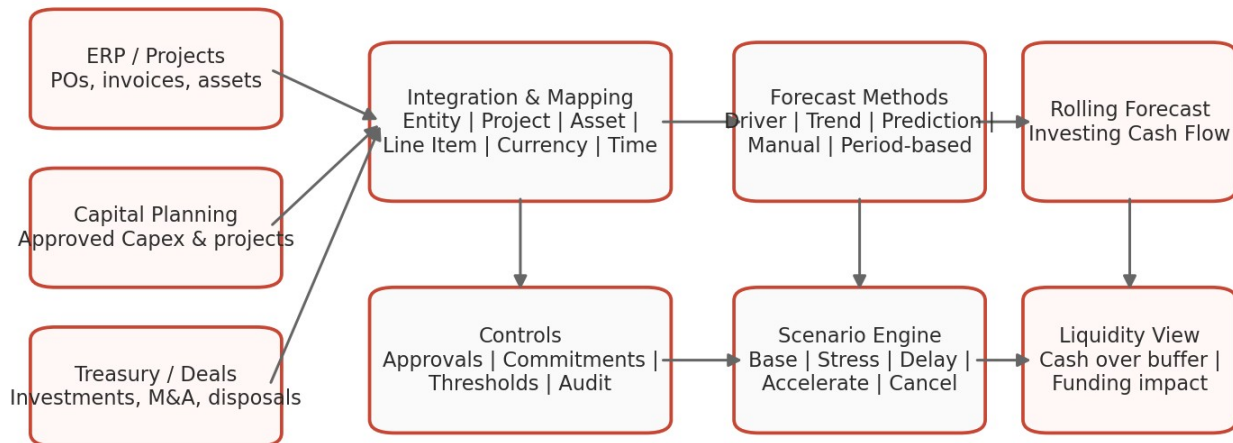
This guide treats Investing Cash Flow as a controlled forecast domain inside Oracle EPM Predictive Cash Forecasting (PCF). It focuses on explicit investing cash inflows and outflows - capital expenditure, asset disposals, strategic investments, business acquisition payments, and other long-term asset movements - and on how these items affect liquidity, funding and treasury decisions.

What an advanced student should be able to do

- Design an investing cash-flow hierarchy that distinguishes committed, probable and discretionary cash movements.
- Map capital-project, purchase-order, fixed-asset and deal data into cash line items with traceable lineage.
- Select driver-based, trend, prediction, manual or period-based methods according to the nature and timing certainty of each investing line item.
- Calculate weekly investing inflows/outflows, Net Investing Cash Flow, closing cash and cash-over-buffer.
- Build approval thresholds for high-value Capex, acquisitions and strategic investment payments.
- Explain how Capex acceleration, asset-sale delays and M&A milestone changes influence forecast liquidity and financing requirements.

Reference architecture used in this lab

Investing Cash Flow - Functional Architecture



Oracle-inspired conceptual design for training; not a replica of Oracle proprietary UI.

Figure 1. Oracle-inspired Investing Cash Flow functional architecture.

2. Investing Cash Flow Model

Investing Cash Flow represents cash used to acquire or generated from disposing of long-lived assets and investments. In a treasury cash forecast, the emphasis is timing: a capital project may be approved months earlier, but cash is forecast when milestones, purchase orders, invoices, settlement dates, or transaction close dates are expected to create bank movements.

Recommended line-item taxonomy

Category	Typical Line Items	Forecast Driver / Evidence
Investing Outflows	Capital expenditure - PP&E	Approved capital plan, project milestones, PO schedule, invoice dates
Investing Outflows	Software / intangible asset additions	Project plan, vendor milestones, capitalization schedule
Investing Outflows	Strategic investments / securities purchases	Treasury investment plan, settlement dates
Investing Outflows	Acquisition / business combination payments	Deal close date, escrow, earn-out or milestone schedule
Investing Inflows	Asset disposals	Sale agreement, expected proceeds, settlement date
Investing Inflows	Sale / maturity of investments	Investment ledger and maturity dates

Core equations

Investing Cash Inflows = Asset Disposal Proceeds + Investment Sale / Maturity Proceeds + Other Investing Receipts

Investing Cash Outflows = Capex + Intangible / Project Spend + Strategic Investments + Acquisition Payments + Other Investing Payments

Net Investing Cash Flow = Investing Cash Inflows - Investing Cash Outflows

Closing Cash = Opening Cash + Net Operating Cash Flow + Net Investing Cash Flow + Net Financing Cash Flow

Cash Over Buffer = Closing Cash - Minimum Cash Buffer

3. Source Data, Mapping and Lineage

Data Flow and Lineage - Investing Cash Flow

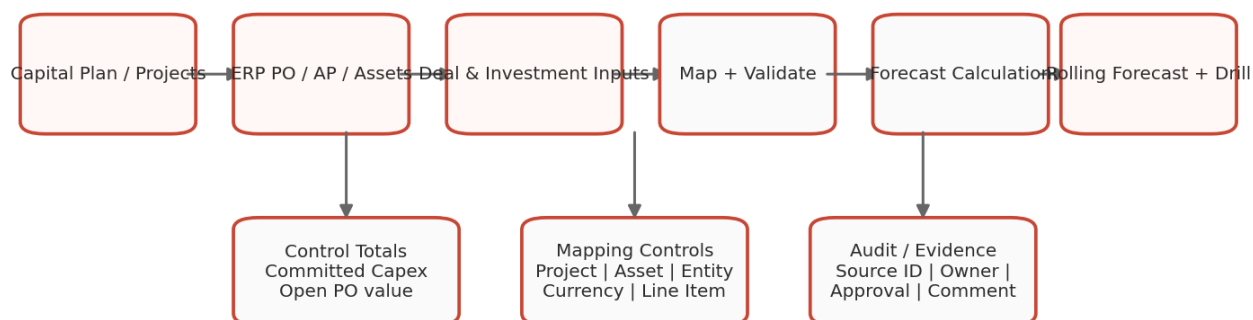


Figure 2. Source-to-line-item lineage for Investing Cash Flow.

Source system design

Source	Important fields	Investing use
Capital Planning / Projects	Project, approved budget, milestone, planned spend, owner	Longer-horizon Capex baseline
ERP Purchasing / AP	PO, supplier, invoice, due date, project, asset class	Near-term committed cash outflow
Fixed Assets	Asset, disposal status, expected proceeds, disposal date	Asset-sale cash inflow
Treasury / Investment Ledger	Security, maturity, settlement, principal	Investment purchase/sale/maturity
Corporate Development / M&A	Deal, close date, escrow, milestone, earn-out	Acquisition cash payments
Banks / Cash Management	Account, value date, amount	Actual settlement and forecast-to-actual validation

Integration controls

- Reconcile committed Capex from projects / PO sources to control totals before forecasting.
- Preserve source IDs for drill-through or audit evidence on high-value cash items.
- Validate project-to-entity, account-to-line-item, currency, and time mappings separately.
- Separate approved budget from committed cash; an annual budget is not a payment schedule.
- Tag data freshness, mapping errors and method/calculation errors distinctly for operational support.

4. Forecast Method Strategy for Investing Cash Flow

Forecast Method Decision Tree - Investing Line Items

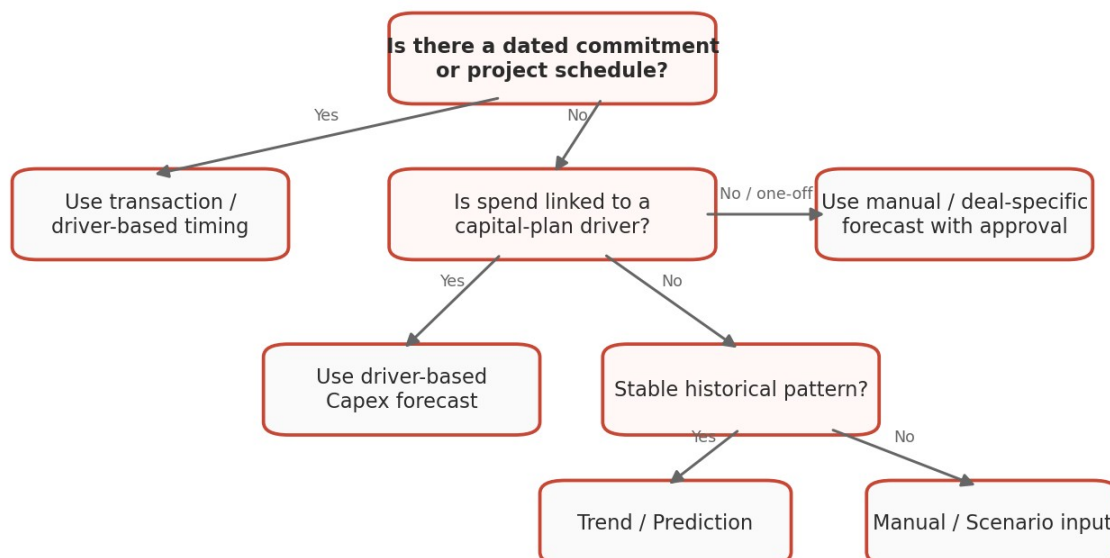


Figure 3. Method-selection decision tree for Investing Cash Flow line items.

Method design by line item

Line Item	Near-term method	Later-horizon method	Why
Capex - committed projects	Project / transaction schedule	Capital-plan driver	Near term should reflect commitments; later periods can use approved plan timing.
Asset disposal proceeds	Manual / dated agreement	Trend only if recurring	One-off disposals need evidence and settlement dates.
Strategic investments	Manual approved schedule	Manual / plan	Material treasury decisions are discrete and approval-driven.
Acquisition payments	Milestone / manual	Scenario schedule	Close dates, escrow and earn-outs are event based.
Recurring equipment replacement	Driver based	Trend / prediction	Stable patterns can support statistical or trend methods.

Oracle PCF supports forecast methods by cash line item and entity, including driver-based, trend-based, Smart Drivers, prediction-based and manual methods. Period-based methods allow a different method for nearer versus farther periods. For Investing Cash Flow, this is useful because committed projects can be highly deterministic in the near term while later Capex is often plan- or driver-based.

5. Oracle-Inspired Configuration Blueprint

Predictive Cash Forecasting / Investing Cash Flow / Assumptions
JS01 Version: Working

Line Item	Method 1	End	Method 2	End	Owner
Capital Expenditure	Driver - Project Schedule	W6	Capital Plan %	W13	Capex Mgr
Asset Disposals	Manual / Deal Dates	W8	Trend	W13	Asset Mgr
Strategic Investments	Manual Approved	W13	-	-	Treasury
Acquisition Payments	Milestone / Manual	W13	-	-	Corp Dev

Capex Assumption
Approved FY27 Capex: \$78.0m
Committed: 62%

Control
Override > \$2.0m requires
Controller approval

Scenario
Stress: +15% Capex cost
Delay: 4 weeks

Figure 4. Conceptual Investing Cash Flow configuration screen - Oracle inspired, not a replica.

Configuration checklist

1. Define the forecast horizon, roll frequency and actual-to-forecast cutover.
2. Design the Investing Cash Flow hierarchy and project / asset / deal granularity required for decision making.
3. Map project, PO, AP, fixed-asset and investment data to line items and entities.
4. Assign forecast methods by line item, entity, version and period range.
5. Load assumptions: project milestone percentages, settlement dates, disposal proceeds, acquisition milestones and minimum cash buffer.
6. Define approval thresholds for material investing cash movements and manual overrides.
7. Run the forecast process, validate exceptions and publish only after controller / treasury review.

6. End-to-End Investing Cash Forecast Process

End-to-End Investing Cash Forecast Process

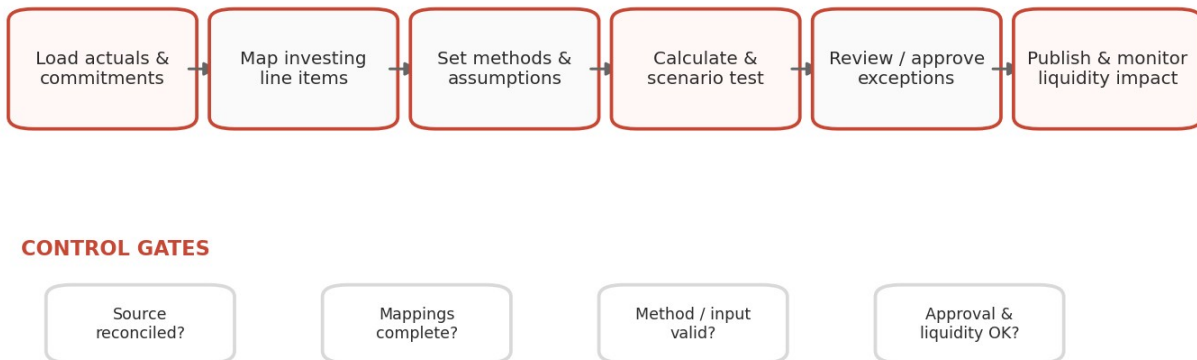


Figure 5. Investing cash forecast process with control gates.

Role-based responsibilities

Role	Primary responsibility	Key controls
Administrator	Enable features, dimensions, mappings, methods, forms and rules	Configuration governance, job monitoring
Capex / Project Manager	Maintain project timing and approved spend assumptions	Evidence for schedule changes
Cash Manager / Treasury	Review investing cash timing and liquidity effect	Cash buffer, scenario analysis, funding actions
Controller	Approve material overrides and publish readiness	Threshold approval, audit trail
Corporate Development	Maintain acquisition milestone / payment assumptions	Deal confidentiality and evidence

7. Advanced Lab - 13-Week Investing Cash Flow Forecast

Scenario: BISP Manufacturing US01 is preparing a 13-week treasury forecast. The company has an ERP-backed Capex program, a planned asset disposal, a strategic investment and a scheduled acquisition payment. Treasury must determine whether investing activity creates a breach of the \$5.0m minimum cash buffer.

Starting assumptions

Assumption	Value
Opening Cash - Week 1	\$14.0m
Minimum Cash Buffer	\$5.0m
Base Operating Cash Flow	\$1.2m per week
Base Financing Cash Flow	\$0.0m unless funding action is required
Forecast horizon	13 weeks
Currency	USD millions

Lab objectives

- Build weekly Investing Cash Inflows and Outflows.
- Calculate Net Investing Cash Flow and rolling Closing Cash.
- Identify weeks where investing activity creates cash-buffer pressure.
- Create a downside scenario for Capex cost overrun and delayed asset-sale proceeds.
- Prepare controlled treasury actions without reclassifying financing as investing cash flow.
- Compare prior forecast to actual investing cash settlements and calculate variance.

8. Lab Input Dataset

Week	Capex Outflow	Asset Sale Inflow	Strategic Investment	Acquisition Payment	Other Invest. Outflow
W1	1.8	0	0	0	0.2
W2	2.2	0	0	0	0.2
W3	2.0	1.5	0	0	0.1
W4	3.5	0	1.2	0	0.2
W5	4.1	0	0	0	0.2
W6	3.8	0	0	3.0	0.2
W7	2.6	2.0	0	0	0.1
W8	2.4	0	0	0	0.2
W9	3.1	0	1.5	0	0.2
W10	2.9	1.8	0	0	0.1
W11	3.0	0	0	0	0.2
W12	2.7	2.5	0	0	0.2
W13	2.5	0	0	0	0.1

Student task

1. Calculate Investing Cash Inflows for each week.
2. Calculate Investing Cash Outflows for each week.
3. Calculate weekly Net Investing Cash Flow.
4. Add weekly Operating Cash Flow of +\$1.2m and roll Closing Cash from the \$14.0m opening balance.
5. Flag every week where Closing Cash is below the \$5.0m minimum cash buffer.
6. Prepare a treasury action recommendation for any flagged week.

9. Worked Calculation - Base Forecast

Week	Opening	Invest In	Invest Out	Net Investing	Closing Cash	Cash Over Buffer	Status
W1	14.0	0.0	2.0	-2.0	13.2	8.2	OK
W2	13.2	0.0	2.4	-2.4	12.0	7.0	OK
W3	12.0	1.5	2.1	-0.6	12.6	7.6	OK
W4	12.6	0.0	4.9	-4.9	8.9	3.9	OK
W5	8.9	0.0	4.3	-4.3	5.8	0.8	OK
W6	5.8	0.0	7.0	-7.0	-0.0	-5.0	ALERT
W7	-0.0	2.0	2.7	-0.7	0.5	-4.5	ALERT
W8	0.5	0.0	2.6	-2.6	-0.9	-5.9	ALERT
W9	-0.9	0.0	4.8	-4.8	-4.5	-9.5	ALERT
W10	-4.5	1.8	3.0	-1.2	-4.5	-9.5	ALERT
W11	-4.5	0.0	3.2	-3.2	-6.5	-11.5	ALERT
W12	-6.5	2.5	2.9	-0.4	-5.7	-10.7	ALERT
W13	-5.7	0.0	2.6	-2.6	-7.1	-12.1	ALERT

Step-by-step example - Week 6

Week 6 Investing Inflow = \$0.0m

Week 6 Investing Outflow = Capex \$3.8m + Acquisition Payment \$3.0m + Other Investing \$0.2m = \$7.0m

Week 6 Net Investing Cash Flow = \$0.0m - \$7.0m = -\$7.0m

Week 6 Closing Cash = Week 6 Opening Cash + Operating Cash Flow \$1.2m + Net Investing Cash Flow -\$7.0m

The closing-cash result is then compared with the \$5.0m minimum buffer. A breach must trigger a treasury decision, not a hidden manual change to the investing forecast.

10. Stress Scenario - Capex Overrun + Delayed Disposal

Stress assumption: Weeks 5-8 Capex is 15% higher because of equipment cost escalation, and the Week 7 asset-sale proceeds of \$2.0m are delayed to Week 10. This scenario tests whether investing decisions create a temporary funding requirement.

Week	Stress Capex	Asset Sale Inflow	Total Investing Outflow
W1	1.80	0.00	2.00
W2	2.20	0.00	2.40
W3	2.00	1.50	2.10
W4	3.50	0.00	4.90
W5	4.71	0.00	4.91
W6	4.37	0.00	7.57
W7	2.99	0.00	3.09
W8	2.76	0.00	2.96
W9	3.10	0.00	4.80
W10	2.90	3.80	3.00
W11	3.00	0.00	3.20
W12	2.70	2.50	2.90
W13	2.50	0.00	2.60

Decision framework

- Protect committed / regulatory / safety-critical Capex before discretionary projects.
- Resequence non-critical projects only after confirming operational and contractual impact.
- Validate whether delayed disposal proceeds are timing risk or probability risk.
- Keep Base and Stress versions separate; do not overwrite the approved baseline.
- If operating actions cannot protect the minimum buffer, escalate a financing action in Financing Cash Flow rather than disguising it as lower investing spend.

11. Dashboard and Exception Workbench

Investing Cash Flow - Liquidity Dashboard Mockup

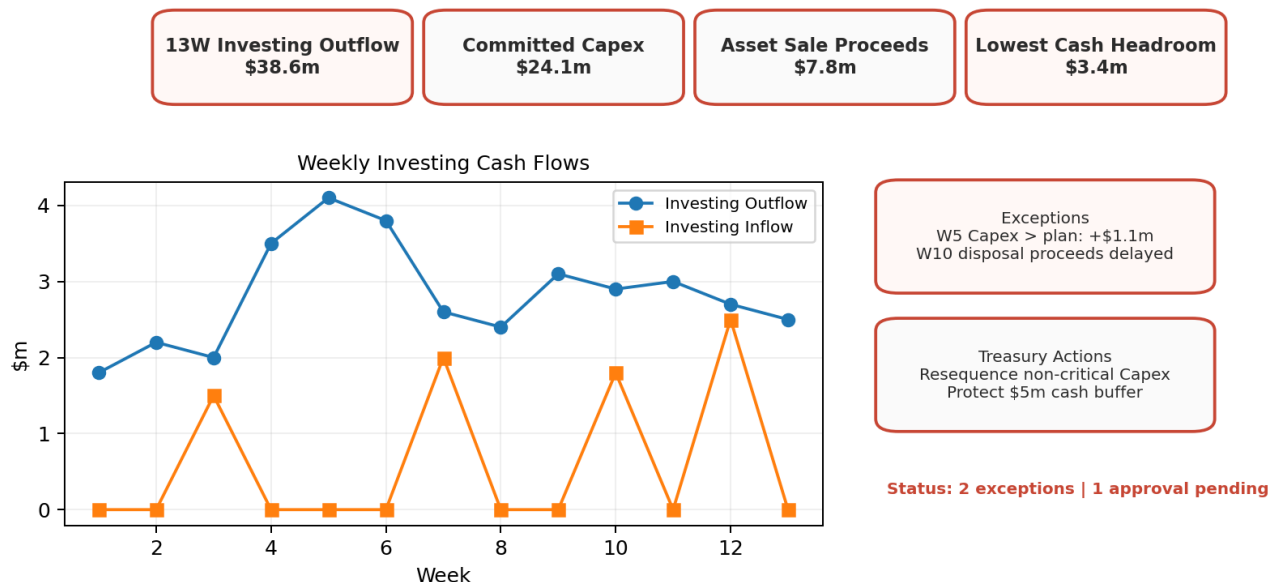


Figure 6. Oracle-inspired Investing Cash Flow liquidity dashboard mockup.

Recommended dashboard KPIs

KPI	Business question
13-week Investing Outflow	How much cash is expected to be deployed into long-term assets / investments?
Committed vs Discretionary Capex	How much spend can realistically be resequenced?
Asset Disposal Proceeds	What cash inflow is dependent on asset-sale execution?
Net Investing Cash Flow	What is the net liquidity impact of investing activities?
Cash Over Buffer	Does Investing Cash Flow create a liquidity breach?
Approved vs Forecast Capex	Is cash timing or amount deviating from capital-plan approval?
Exceptions / Pending Approvals	Which investing movements require management action?

12. Forecast vs Actual and Accuracy Diagnostics

Investing Cash Flow forecast accuracy must be evaluated against the forecast vintage that existed before actual settlement. A project invoice paid in Week 7 should be compared with what Week 7 was forecast to contain in the prior snapshot, not with a forecast that was updated after the payment occurred.

Line Item	Prior Forecast	Actual	Variance	Interpretation
Capex - Project A	3.50	4.10	+0.60	Cost / timing overrun - investigate milestone and PO change
Asset Disposal	2.00	0.00	-2.00	Settlement delayed - update probability and close date
Strategic Investment	1.20	1.20	0.00	On plan
Acquisition Payment	3.00	2.50	-0.50	Escrow / milestone timing variance

Suggested accuracy measures

- Absolute variance = Actual - Prior Forecast.
- Absolute percentage error where the denominator is meaningful and not near zero.
- Timing accuracy: amount correct but paid in a different week.
- Forecast Value Add (FVA): compare adjusted / method forecast accuracy with a simple benchmark.
- Bias by project / business unit: repeated under-forecasting can indicate governance or project-data quality issues.

13. Workflow, Overrides, Security and Audit

Controlled override pattern

1. System forecast is calculated from approved source data and assigned methods.
2. Project or Cash Manager proposes an override when timing or probability materially changes.
3. Override records reason code, old value, new value, effective period, owner, evidence and liquidity impact.
4. Controller or Treasury Approver reviews changes above threshold.
5. Approved version is published; rejected overrides remain visible in audit history.

Recommended security design

Role	Access
Administrator	Metadata, integrations, rules, methods and security configuration
Project / Capex Manager	Input / adjust owned project assumptions; no global publish
Cash Manager	Review entity forecast, scenario analysis and controlled overrides
Controller	Approve material changes and close workflow
Corporate Development	Restricted access to M&A line items / evidence
Viewer / Executive	Read-only dashboard and approved forecast

14. Automation and Production Orchestration

The production pipeline should be observable and restartable. A technically successful load is not enough: Investing Cash Flow must also reconcile committed spend, validate mappings, calculate forecasts, apply scenario / approval controls and publish only when critical exceptions are cleared.

Step	Job / Control	Failure response
1	Load project / PO / AP / asset / deal data	Retry source-specific load; retain successful entities
2	Validate record counts and control totals	Stop downstream calculation for critical mismatches
3	Run mappings / transformations	Route unmapped projects / accounts to exception queue
4	Push assumptions / calculate forecast	Validate method inputs and period coverage
5	Run cash-buffer and exception rules	Block publish for material unapproved breach
6	Archive forecast snapshot	Preserve vintage for accuracy analysis
7	Publish and notify	Send only actionable exception / completion messages

Operational controls

- Store job ID, start/end time, record count, amount control total, error count and downstream status.
- Prevent publish when project / deal sources are stale beyond agreed SLA.
- Use entity- or source-level restartability rather than reloading the entire forecast unnecessarily.
- Maintain an audit link between forecast output and the source commitment / deal evidence where practicable.

15. Troubleshooting Handbook

Representative Log / Error Examples

PCF-INV-101	Project PRJ-1048 has no mapped Investing Cash Flow line item.	Map project class / account and reload.
PCF-INV-207	Capex commitment currency EUR but FX rate missing for W07.	Load FX rate or validate currency POV.
PCF-INV-318	Manual acquisition payment exceeds approval threshold by \$450k.	Provide evidence and route to Controller / Treasury approval.
PCF-INV-412	Asset disposal proceeds forecast after project close date.	Correct disposal date or project milestone.

Figure 7. Representative Investing Cash Flow error and diagnostic patterns.

Diagnostic decision sequence

1. Confirm period, entity, version, currency and project / asset POV.
2. Check source freshness and reconcile committed Capex / deal amounts before changing forecast logic.
3. Validate line-item, project, account, asset class and currency mappings.
4. Confirm forecast method assignment and period range.
5. Check required driver / assumption values such as milestone percentages and settlement dates.
6. Run the relevant forecast rule and review job diagnostics.
7. Compare output with a small manually calculated project sample.
8. Check aggregation, FX translation and hierarchy behavior.
9. Document root cause, correction and evidence before reopening workflow.

16. Common Investing Cash Flow Issues and Resolutions

Symptom	Likely cause	Resolution
Capex forecast is zero	Project not mapped, no driver data, or method not assigned	Validate project/account mapping, source load and forecast method.
Forecast duplicates project spend	Capital plan and PO/invoice feeds both treated as additive	Create precedence rules: committed transactions replace planned amount for covered periods.
Asset disposal inflow appears too early	Planned sale date used instead of settlement / receipt date	Forecast expected cash settlement, not accounting disposal date.
Acquisition payment visible to too many users	Broad entity security ignores deal confidentiality	Use restricted line-item / form access and controlled evidence handling.
Closing cash changes unexpectedly	Investing line correct but Operating/Financing/FX or opening cash changed	Reconcile all cash-flow categories and opening balance.
Stress scenario overwrites Base	Version handling / form design incorrect	Separate scenarios / versions and control publish workflow.
Forecast variance remains high	Project schedules are updated late or commitments not integrated	Increase source refresh frequency, ownership and milestone governance.

17. Implementation Checklist - Investing Cash Flow

- ☐ Confirm business definition and Investing Cash Flow line-item taxonomy.
- ☐ Define forecast horizon and roll frequency.
- ☐ Design project, asset, entity, currency, scenario/version and custom dimensional grain.
- ☐ Identify authoritative sources for Capex plan, commitments, invoices, assets, investments and M&A.
- ☐ Build source-to-target mappings and reconciliation controls.
- ☐ Configure forecast methods by line item/entity/version/period range.
- ☐ Load milestone, settlement, probability, amount and cash-buffer assumptions.
- ☐ Configure dashboards, navigation, security and confidential deal access.
- ☐ Design materiality thresholds, override evidence and approval workflow.
- ☐ Automate integration, calculations, validations, snapshot archive and notifications.
- ☐ Execute unit, integration, UAT, volume, quarter-end and roll-forward testing.
- ☐ Document operating runbook and ownership matrix.

18. Technical Reference - Oracle PCF Concepts

Oracle Predictive Cash Forecasting organizes cash line items under Operating, Investing and Financing Cash Flows. Forecast methods can be defined by cash line item, entity and time horizon, including driver-based, trend-based, Smart Drivers, prediction-based and manual approaches. Period-based setup allows different methods across the rolling forecast horizon.

Design principles for Investing Cash Flow

- Use explicit investing line items rather than hiding Capex or investment flows inside operating expense.
- Near-term forecasts should favor dated commitments and project milestones when available.
- Farther periods may use capital-plan drivers, recurring trend patterns or approved manual schedules.
- Material one-off M&A / strategic investment items require controlled manual assumptions and evidence.
- Scenario planning should change timing / amount assumptions while preserving the Base forecast for comparison.
- Liquidity analysis should evaluate Investing Cash Flow together with Operating and Financing Cash Flow, not in isolation.

Recommended Oracle references

- Predictive Cash Forecasting Overview - Oracle Cloud EPM documentation.
- Setting up Forecast Methods and Configuring Driver Methods in Predictive Cash Forecasting.
- About Forecast Methods; Trend-Based and Prediction-Based Forecasting Methods.
- Enabling Predictive Cash Forecasting and configuring application features.

Note: All UI visuals in this guide are Oracle-inspired training mockups and are not copies of Oracle proprietary screens.

19. Advanced Knowledge Check

1. Why should approved annual Capex not be loaded directly as a weekly cash forecast without timing logic?
2. How would you avoid double counting when both capital-plan data and PO/AP commitments exist?
3. When should asset-sale proceeds use manual dated assumptions instead of a historical trend?
4. How would you design period-based forecast methods for committed Capex in Weeks 1-6 and planned Capex in Weeks 7-13?
5. What evidence should be mandatory for a \$10m acquisition-payment override?
6. How can delayed disposal proceeds affect the financing plan even if total annual Investing Cash Flow is unchanged?
7. What is the difference between amount variance and timing variance for Capex?
8. Why must forecast vintages be archived before each roll?
9. Which security controls are appropriate for confidential M&A cash flows?
10. If Net Investing Cash Flow is correct but closing cash is wrong, what should you test next?

Capstone exercise

Extend the 13-week lab by creating three versions: Base, Capex +15% Stress, and Project Delay. Define a method transition for Capex, create approval rules for overrides greater than \$2.0m, calculate the minimum cash point in each version, and write a one-page treasury recommendation identifying which investing actions can be resequenced without compromising mandatory projects.

20. Production Runbook - Weekly Investing Cash Cycle

Time / Gate	Activity	Owner	Evidence / Output
T-1 day	Refresh project, PO/AP, fixed asset and deal feeds	Integration Ops	Load logs and control totals
08:00	Validate mappings, currency and stale sources	Administrator	Exception report
08:30	Calculate Investing Cash Flow forecast	Cash Manager	Working forecast
09:00	Review project exceptions / new commitments	Capex + Project Owners	Commentary and evidence
10:00	Run Base / Stress liquidity scenarios	Treasury	Cash buffer dashboard
11:00	Approve material overrides	Controller / Treasury Approver	Workflow audit
12:00	Archive vintage and publish approved forecast	Cash Manager	Approved snapshot
Post-publish	Monitor actual settlements / late events	Treasury Ops	Variance alerts

Go-live acceptance criteria

- All in-scope investing sources reconcile to agreed control totals.
- No critical unmapped projects, accounts, assets or currencies.
- Forecast methods cover every material line item and required period range.
- Large manual overrides require evidence and approval.
- Base / Stress versions are isolated and reproducible.
- Cash-buffer exceptions are visible before publish.
- Forecast-vintage archive supports forecast-to-actual analysis.
- Runbook restart, incident ownership and escalation paths are tested.